PYTHON FOR DATA SCIENCE · LESSON 29 OF 31

Python Capstone: End-to-End Retail Sales Analytics Project

Bring the whole Python track together on the Superstore data. Structure a project, build a validated data pipeline, compute KPIs, growth and Pareto analysis, cohort retention and discount impact, create a chart pack and an Excel report, and write the README and executive summary you can put in your portfolio.

Python capstone | pandas 3 · Matplotlib 3.10 · openpyxl | Advanced | 180 min

By the end of this lesson you can

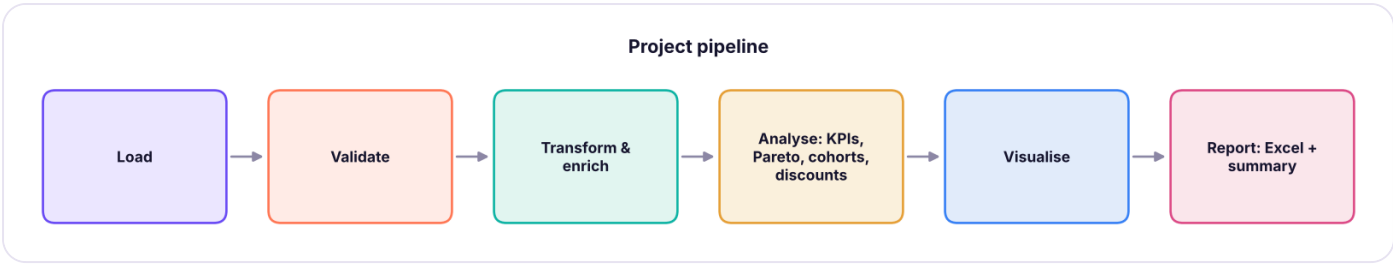
- Organise an analysis as a reproducible project with functions, checks and outputs
- Build a load → validate → transform pipeline with assertions
- Analyse KPIs, growth, Pareto concentration, cohorts and discount effects
- Produce a multi-sheet Excel report and a chart pack
- Write an executive summary and a portfolio-ready README

Datasets used

`superstore_sales.csv` `customers.csv` `products.csv`

The brief

The sales director of an Indian office-supplies retailer asks: **How did 2025 go, where do we make and lose money, how loyal are our customers, and what should we change in 2026?** Deliver a short report with charts and an Excel workbook her team can filter.



Capstone pipeline.

Project layout (Lesson 13): `data/raw`, `src/` (functions below), `notebooks/` (exploration), `reports/` (outputs), `README.md`.

1. Load and validate

Python

```python
import pandas as pd, numpy as np, matplotlib.pyplot as plt
pd.set_option("display.max_columns", 20); pd.set_option("display.width", 160)

def load(path="superstore_sales.csv"):
    df = pd.read_csv(path, parse_dates=["order_date", "ship_date"])
    return df

def validate(df):
    checks = {
        "row_id unique": df["row_id"].is_unique,
        "no missing values": df.isna().sum().sum() == 0,
        "sales positive": (df["sales"] > 0).all(),
        "discount between 0 and 1": df["discount"].between(0, 1).all(),
        "ship after order": (df["ship_date"] >= df["order_date"]).all(),
        "quantity 1-20": df["quantity"].between(1, 20).all(),
    }
    for name, ok in checks.items(): print(f"  {'PASS' if ok else 'FAIL'}  {name}")
    assert all(checks.values()), "validation failed"
    return df

s = validate(load())
print(s.shape, s.order_date.min().date(), "→", s.order_date.max().date())
```

OUTPUT

```
  PASS  row_id unique
  PASS  no missing values
  PASS  sales positive
  PASS  discount between 0 and 1
  PASS  ship after order
  PASS  quantity 1-20
(6323, 19) 2023-01-01 → 2025-12-31
```

2. Transform and enrich

Python

```
def enrich(df):
    out = df.copy()
    out["year"] = out.order_date.dt.year
    out["month"] = out.order_date.dt.to_period("M")
    out["margin_pct"] = 100 * out.profit / out.sales
    out["ship_days"] = (out.ship_date - out.order_date).dt.days
    out["discount_band"] = pd.cut(out.discount, [-0.01, 0, 0.1, 0.2, 1], labels=["0%", "1-
10%", "11-20%", ">20%"])
    return out
s = enrich(s)
print(s[["order_id", "year", "month", "sales", "profit", "margin_pct",
"discount_band"]].head(3))
```

OUTPUT

	order_id	year	month	sales	profit	margin_pct	discount_band
0	IN-2023-00001	2023	2023-01	36000.0	3472.55	9.645972	0%
1	IN-2023-00001	2023	2023-01	3850.0	1169.54	30.377662	0%
2	IN-2023-00001	2023	2023-01	62080.0	6044.47	9.736582	0%

3. Headline KPIs and growth

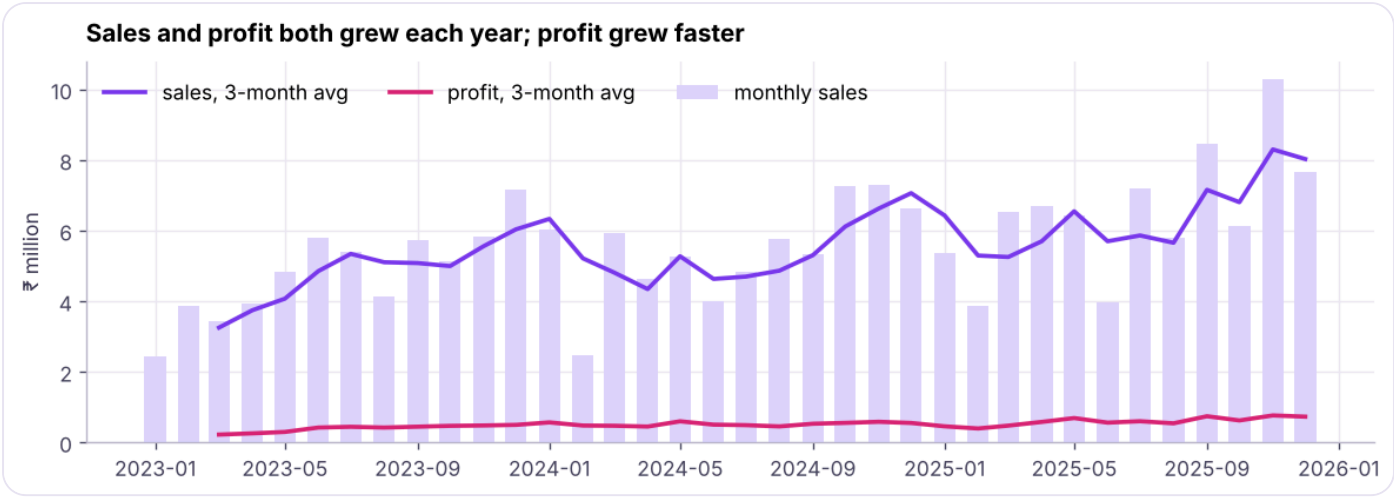
Python

```
def kpis(df):
    g = df.groupby("year").agg(sales=("sales", "sum"), profit=("profit", "sum"), orders=
("order_id", "nunique"), customers=("customer_id", "nunique"), units=("quantity", "sum"))
    g["margin_%"] = 100 * g.profit / g.sales
    g["aov"] = g.sales / g.orders
    g["sales_growth_%"] = 100 * g.sales.pct_change()
    g["profit_growth_%"] = 100 * g.profit.pct_change()
    return g
k = kpis(s)
view = k.assign(sales=k.sales / 1e6, profit=k.profit / 1e6, aov=k.aov / 1e3).round(1)
view.columns = ["sales ₹M", "profit ₹M", "orders", "customers", "units", "margin %", "AOV
₹K", "sales growth %", "profit growth %"]
print(view)
```

OUTPUT

```
      sales ₹M  profit ₹M  orders  customers  units  margin %  AOV ₹K  sales growth %
profit growth %
year
```

```
2023      57.6        4.7     883        540    4714       8.2    65.3              NaN
NaN
2024      65.4        6.1    1085        590    5404       9.4    60.3             13.5
29.9
2025      78.4        7.5    1232        623    6266       9.6    63.6             19.8
22.1
```



Monthly sales and profit, 2023–2025, with 3-month rolling averages.

4. Where we make and lose money

Python

```python
sub = s[s.year == 2025].groupby(["category", "sub_category"]).agg(sales=("sales", "sum"),
profit=("profit", "sum"), avg_disc=("discount", "mean"))
sub["margin_%"] = (100 * sub.profit / sub.sales).round(1)
sub = sub.sort_values("profit")
print((sub.assign(sales=sub.sales / 1e6, profit=sub.profit / 1e6)).round(2))
```

OUTPUT

category	sub_category	sales	profit	avg_disc	margin_%
Furniture	Tables	5.30	-0.29	0.17	-5.4
	Bookcases	3.92	-0.17	0.19	-4.3
Office Supplies	Art	0.10	0.02	0.08	15.3
	Binders	0.16	0.02	0.08	14.2
Furniture	Furnishings	0.49	0.03	0.08	5.2
Office Supplies	Paper	0.19	0.03	0.07	15.8
Furniture	Chairs	3.05	0.13	0.08	4.3
Office Supplies	Storage	0.98	0.14	0.08	14.1
Technology	Accessories	1.22	0.15	0.07	11.9
Office Supplies	Appliances	2.54	0.38	0.07	14.9

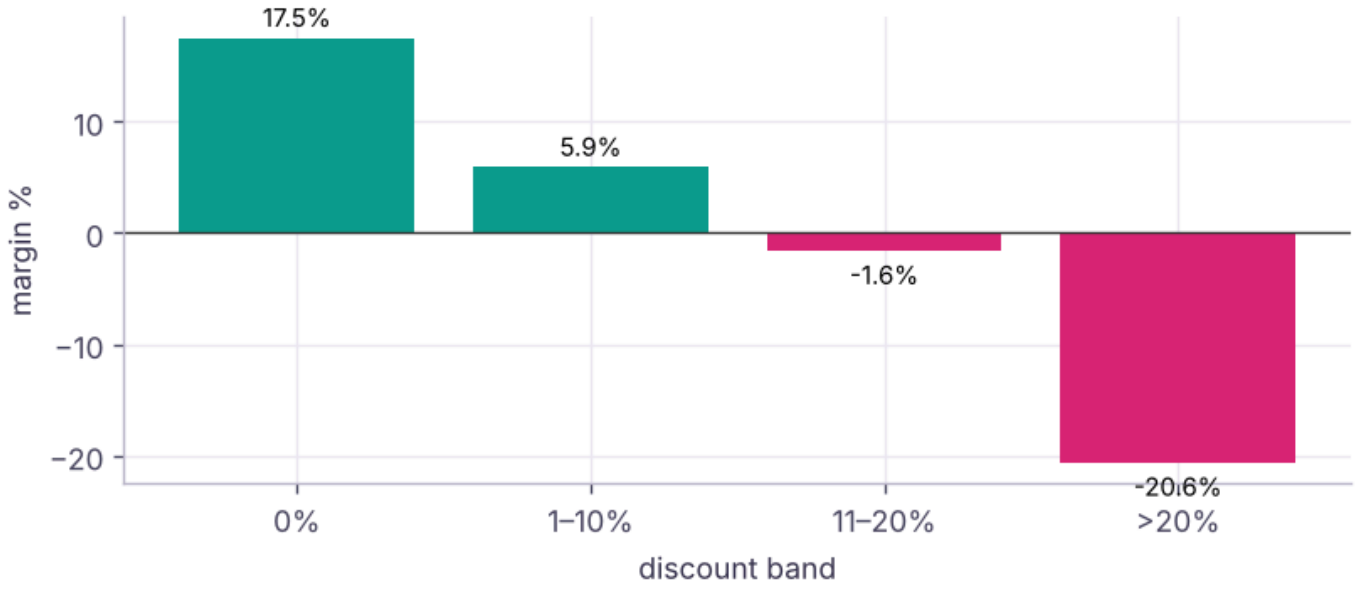
Technology	Phones	12.94	1.71	0.06	13.2
	Machines	16.50	2.00	0.08	12.1
	Copiers	30.98	3.35	0.08	10.8

Python

```
db = s.groupby("discount_band", observed=True).agg(lines=("row_id", "size"), sales=
("sales", "sum"), profit=("profit", "sum"))
db["margin_%"] = (100 * db.profit / db.sales).round(1); db["share_of_lines_%"] = (100 *
db.lines / db.lines.sum()).round(1)
print(db.assign(sales=(db.sales / 1e6).round(1), profit=(db.profit / 1e6).round(2)))
```

OUTPUT

discount_band	lines	sales	profit	margin_%	share_of_lines_%
0%	3480	123.9	21.72	17.5	55.0
1–10%	726	21.9	1.29	5.9	11.5
11–20%	1217	35.9	-0.59	-1.6	19.2
>20%	900	19.7	-4.06	-20.6	14.2



Margin by discount band: deep discounts turn profitable lines into losses.

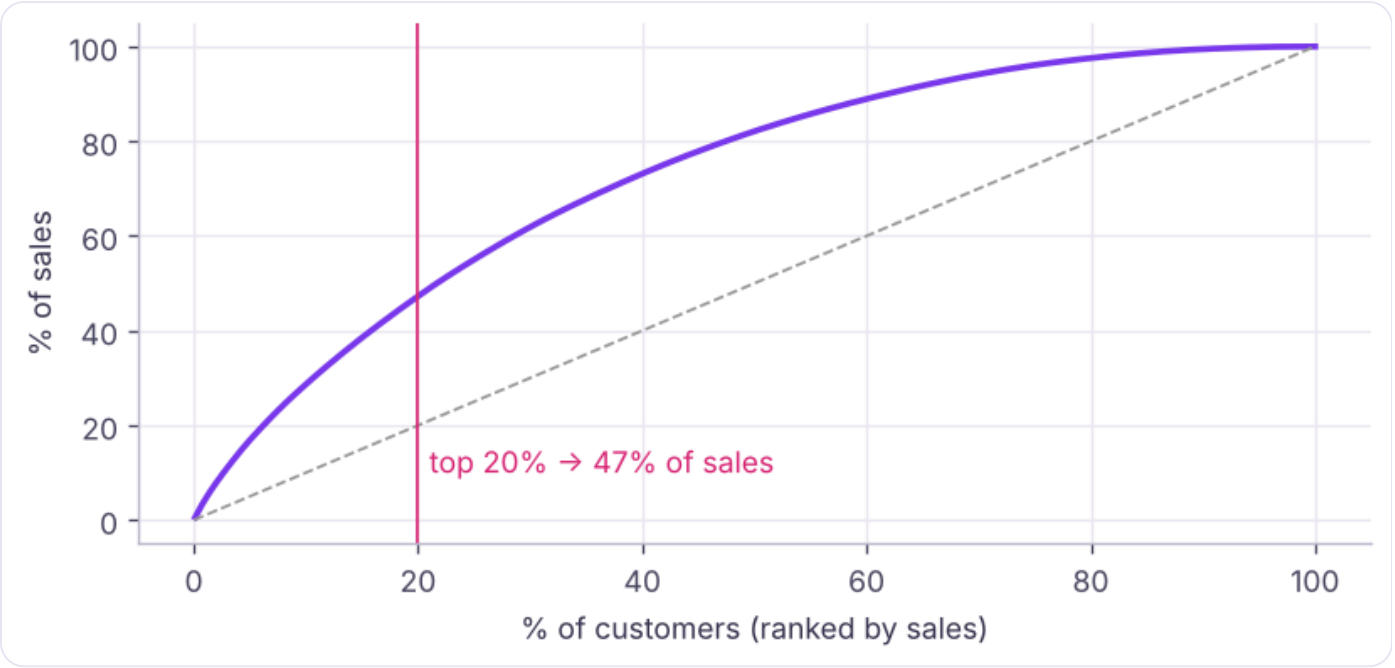
5. Customer concentration (Pareto)

Python

```
cust = s.groupby("customer_id")["sales"].sum().sort_values(ascending=False)
cum = cust.cumsum() / cust.sum()
top20 = int(len(cust) * 0.2)
print(f"{len(cust)} customers | top 20% ({top20}) bring {cum.iloc[top20 - 1]:.0%} of sales
| customers needed for 50% of sales: {(cum < 0.5).sum() + 1}")
```

OUTPUT

```
785 customers | top 20% (157) bring 47% of sales | customers needed for 50% of sales:
171
```



Pareto curve of customer sales.

6. Cohort retention

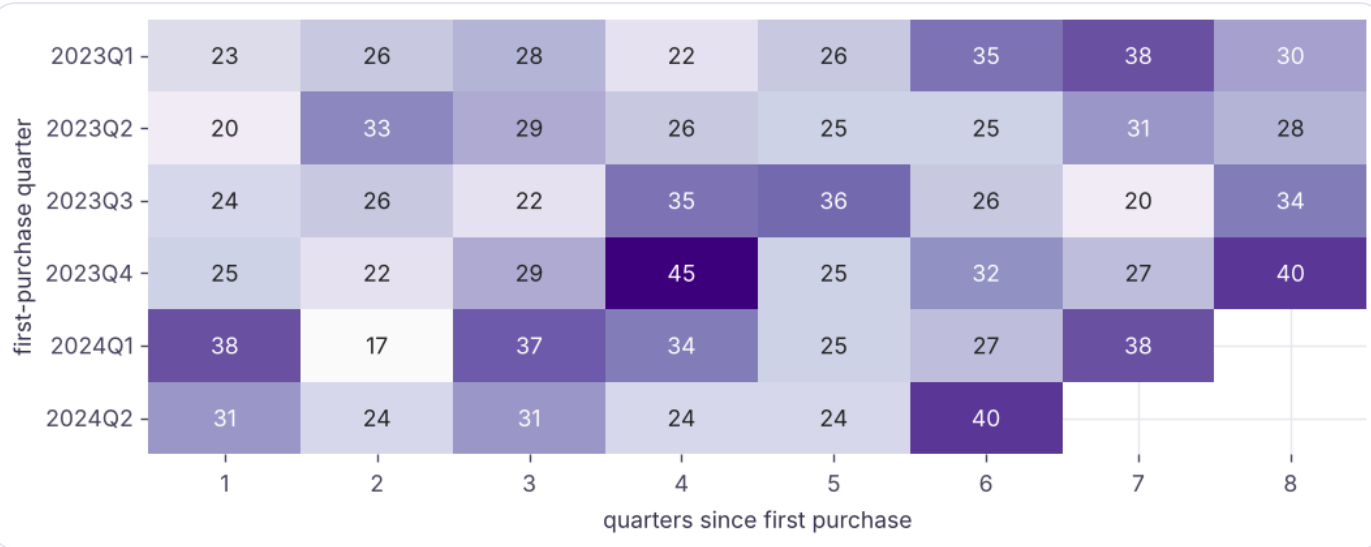
A **cohort** groups customers by the month (here: quarter) of their first purchase; retention tracks how many buy again later.

Python

```
s["quarter"] = s.order_date.dt.to_period("Q")
first = s.groupby("customer_id")["quarter"].min().rename("cohort")
c = s.join(first, on="customer_id")
c["age_q"] = (c.quarter - c.cohort).apply(lambda d: d.n)
active = c.groupby(["cohort", "age_q"])["customer_id"].nunique().unstack()
retention = (active.div(active[0], axis=0) * 100).round(0)
print(active[0].rename("cohort size").head(6).to_dict())
print(retention.iloc[:6, :8])
```

OUTPUT

```
{Period('2023Q1', 'Q-DEC'): 151.0, Period('2023Q2', 'Q-DEC'): 142.0, Period('2023Q3',
'Q-DEC'): 127.0, Period('2023Q4', 'Q-DEC'): 120.0, Period('2024Q1', 'Q-DEC'): 71.0,
Period('2024Q2', 'Q-DEC'): 42.0}
age_q       0     1     2     3     4     5     6     7
cohort
2023Q1  100.0  23.0  26.0  28.0  22.0  26.0  35.0  38.0
2023Q2  100.0  20.0  33.0  29.0  26.0  25.0  25.0  31.0
2023Q3  100.0  24.0  26.0  22.0  35.0  36.0  26.0  20.0
2023Q4  100.0  25.0  22.0  29.0  45.0  25.0  32.0  27.0
2024Q1  100.0  38.0  17.0  37.0  34.0  25.0  27.0  38.0
2024Q2  100.0  31.0  24.0  31.0  24.0  24.0  40.0   NaN
```



Quarterly cohort retention (% of each cohort buying in later quarters).

7. Operations: shipping

Python

```
ship = s.groupby("ship_mode").agg(lines=("row_id", "size"), avg_days=("ship_days", "mean"),
sales=("sales", "sum"))
ship["share_%"] = (100 * ship.lines / ship.lines.sum()).round(1)
print(ship.round(1).sort_values("avg_days"))
reg = s[s.year == 2025].groupby("region").agg(sales=("sales", "sum"), profit=("profit",
"sum"))
reg["margin_%"] = (100 * reg.profit / reg.sales).round(1);
print((reg.assign(sales=reg.sales / 1e6, profit=reg.profit / 1e6)).round(2))
```

OUTPUT

```
                lines  avg_days        sales  share_%
ship_mode
Same Day          321       0.0   10082429.5      5.1
First Class       948       1.5   31455543.0     15.0
Second Class     1249       3.0   40858316.0     19.8
Standard Class   3805       5.6  119017280.5     60.2
         sales  profit  margin_%
region
East     18.91    2.07      10.9
North    16.43    1.56       9.5
South    20.80    1.77       8.5
West     22.23    2.10       9.4
```

8. Excel report for the business

Python

```
from pathlib import Path
out = Path("reports"); out.mkdir(exist_ok=True)
with pd.ExcelWriter(out / "sales_review_2025.xlsx", engine="openpyxl") as xw:
    view.to_excel(xw, sheet_name="KPIs")
    sub.reset_index().to_excel(xw, sheet_name="Sub-category 2025", index=False)
    db.reset_index().to_excel(xw, sheet_name="Discount bands", index=False)
    retention.reset_index().astype(str).to_excel(xw, sheet_name="Cohort retention",
index=False)
    s[s.year == 2025].drop(columns=["month", "quarter"]).to_excel(xw, sheet_name="Data
2025", index=False)
import openpyxl
wb = openpyxl.load_workbook(out / "sales_review_2025.xlsx")
for ws in wb.worksheets:
    ws.freeze_panes = "B2"; ws.auto_filter.ref = ws.dimensions
    for col in ws.columns: ws.column_dimensions[col[0].column_letter].width = 16
wb.save(out / "sales_review_2025.xlsx")
print(wb.sheetnames, f"{(out / 'sales_review_2025.xlsx').stat().st_size / 1e6:.1f} MB")
import shutil; shutil.rmtree(out)
```

OUTPUT

```
['KPIs', 'Sub-category 2025', 'Discount bands', 'Cohort retention', 'Data 2025'] 0.3
MB
```

9. Executive summary (template)

Write the summary **from the numbers above**; every claim should point to a table or chart.

KEY TAKEAWAYS

Fill each line from your outputs: 1. **Growth**: 2025 sales of **₹M (+**% on 2024), profit **₹M (+**%), margin __%. 2. **Profit engines**: __ and __ deliver __% of profit; __ and **lose mon**. 3. **Discounts**: lines discounted above 20% h**e a __% m**gin, against __% at no discount. 4. **Customers**: the top 20% of customers brin**__% of sales, an**__% of a cohort is still buying a year later. 5. **Actions for 2026**: cap discounts on __; review pricing of __; a loyalty programme for the top customers; a retention push in the first quarter after a customer's first purchase.

10. README for your portfolio

Text

```
# Superstore India: 2025 Sales Review (Python)
**Question:** How did 2025 perform, where is profit made and lost, how loyal are customers?
**Data:** 6,323 order lines, 2023-2025 (synthetic, modelled on the Superstore dataset).
**Tools:** pandas, Matplotlib, Seaborn, openpyxl.
**Method:** validation checks → enrichment → KPIs, Pareto, cohort retention, discount
analysis.
**Key findings:** (3-5 bullets with numbers)
**Recommendations:** (3 bullets)
**How to run:** `pip install -r requirements.txt && python src/run_report.py`
**Repo:** data/ · src/ · notebooks/ · reports/ · README.md
```

Summary

KEY TAKEAWAYS

- A project is a pipeline: load → validate (assertions) → enrich → analyse → visualise → report.
- KPI tables with growth, sub-category profitability, discount bands, Pareto concentration and cohort retention answer most retail questions.
- `pd.ExcelWriter` + openpyxl create business-ready, filterable workbooks.
- Finish with an executive summary tied to numbers and a portfolio README.

Quick quiz

6 questions · tap an answer to check it

1. Why put validation checks at the start of the pipeline?

A To stop early if the data breaks assumptions, rather than producing wrong results

B To make the code longer

C Because pandas requires it

D To speed up loading

Answer: A. Assertions make failures loud.

2. What does a Pareto analysis of customers show?

A Average sales

B How concentrated sales are among the top customers

C Retention over time

D Discount impact

Answer: B. Often a minority of customers brings most of the revenue.

3. What is a cohort in retention analysis?

A Customers grouped by the period of their first purchase

B Customers in the same city

C All customers

D Products in a category

Answer: A. Retention follows each cohort over time.

4. Which tool writes several sheets to one Excel file?

A `df.to_csv`

B `pd.ExcelWriter`

C `openpyxl.load_workbook` only

D `df.to_json`

Answer: B. Then format with openpyxl.

5. What belongs in an executive summary?

A All code

B Key numbers, findings and recommended actions

C Raw data

D Library versions

Answer: B. Lead with the answer.

6. Why write analysis steps as functions?

A They can be tested, re-run on new data and reused

B They run faster in all cases

C Notebooks forbid loops

D To avoid variables

Answer: A. Reproducibility matters.

EXERCISE

Extend the capstone

(1) Add product-level ABC analysis (A = top 80% of sales). (2) Compute RFM scores for 2025 customers (see ML track lesson on segmentation). (3) Turn the chart cells into a function that saves PNGs to `reports/`. (4) Publish the project on GitHub with the README template and one chart in the README.

Show solution (worked answer)

Python

```
prod = s.groupby("product_name")["sales"].sum().sort_values(ascending=False)
share = prod.cumsum() / prod.sum()
abc = pd.cut(share, [0, .8, .95, 1], labels=["A", "B", "C"]);
print(abc.value_counts())
snap = s.order_date.max() + pd.Timedelta(days=1)
rfm = s[s.year == 2025].groupby("customer_id").agg(R=("order_date", lambda d: (snap -
d.max()).days), F=("order_id", "nunique"), M=("sales", "sum"))
rfm["score"] = pd.qcut(-rfm.R, 4, labels=False) + pd.qcut(rfm.F.rank(method="first"),
4, labels=False) + pd.qcut(rfm.M, 4, labels=False)
print(rfm.sort_values("score", ascending=False).head())
```

INTERVIEW CORNER

Questions you may be asked

Q: Walk me through a project you are proud of. Use STAR: the business situation and question, your task, the actions (data, cleaning, analysis, tools), and the result with numbers and what changed. Keep it to two minutes and be ready to go deeper on any step.

Q: How do you make sure your numbers are right? Validation checks, reconciling totals with a trusted source, spot-checking individual records, peer review, and versioned, re-runnable code.

Q: What would you do next with more time? Automate the refresh (schedule + Parquet/database), add a dashboard, build a churn or demand-forecast model, and run an experiment on discount policy.

Practise more online

Free, trusted places to test yourself on this topic. Links open the original site in a new tab.